

Introduction to ITIL 4

Overview of ITIL 4

- ▶ ITIL 4 is a modern framework for IT service management that helps organizations adapt to digital transformation. It provides practical and flexible guidance for delivering high-quality IT-enabled products and services.
- ▶ ITIL 4 focuses on improving how organizations create value through services while responding quickly to changing business needs.

Key Purposes of ITIL 4

- ▶ Supports organizations in the digital era.
- ▶ Provides an end-to-end operating model for service delivery and management.
- ▶ Helps improve efficiency, customer satisfaction, and service quality.
- ▶ Encourages continual improvement.
- ▶ Integrates modern working methods such as:
 - Lean
 - Agile
 - DevOps

Main Components of ITIL 4

ITIL 4 is structured around two key components:

- ▶ **ITIL Service Value System (SVS)**
- ▶ **The Four Dimensions Model**

Key Concepts of Service Management

2.1 Objectives

- ▶ This chapter explains the core concepts of service management in ITIL 4, including value creation, services, products, resources, service relationships, outcomes, costs, risks, utility, and warranty.

2.2 Overview of Service Management

Definition of Service Management

- ▶ **Service Management** is a set of specialized organizational capabilities used to enable value for customers in the form of services.
- ▶ It helps organizations design, deliver, manage, and improve services efficiently.

To Develop Service Management Capabilities, Organizations Must Understand:

- ▶ The nature of value
- ▶ The stakeholders involved
- ▶ How services enable value creation
- ▶ How to manage costs and risks
- ▶ How to improve customer outcomes

2.3 Value and Value Co-Creation

Meaning of Value

Value refers to the perceived benefits, usefulness, and importance of something.

- ▶ Value is based on stakeholder perception. What is valuable to one customer may differ from another.

Value Co-Creation

In ITIL 4, value is not created by the service provider alone. It is co-created through collaboration between:

- ▶ Service providers
- ▶ Regulators
- ▶ Customers
- ▶ Users

- ▶ Suppliers
- ▶ Partners
- ▶ Regulators
- ▶ Shareholders

- ▶ This means both provider and consumer contribute to achieving successful outcomes.

Organization Definition

An organization is a person or group of people with responsibilities, authority, and relationships designed to achieve objectives.

In service management, an organization can act as:

- ▶ Service Provider
- ▶ Service Consumer
- ▶ Both (internal service provider)

2.4 Value: Services, Products and Resources

▶ Resources

Resources are people or other assets required to perform activities or achieve objectives.

Examples:

- ▶ Staff
- ▶ Technology
- ▶ Information
- ▶ Money
- ▶ Infrastructure
- ▶ Suppliers

▶ **Products**

A product is a configuration of organizational resources designed to offer value to consumers.

Examples:

- ▶ Banking application
- ▶ Network platform
- ▶ HR system
- ▶ Online portal

Services

► Services

A service is a means of enabling value co-creation by facilitating outcomes customers want to achieve without the customer managing specific costs and risks.

Simple Meaning:

- The provider handles complexity so the customer can focus on results.

Service Offerings

- ▶ Service providers present services through service offerings.
- ▶ **Definition**

A service offering is a description of one or more services designed to meet the needs of a target consumer group.

Service Offerings May Include:

1. Goods

- ▶ Physical items transferred to the consumer.
- ▶ Examples:
 - ▶ Laptop
 - ▶ Router
 - ▶ Printer

2. Access to Resources

Use of resources under agreed terms.

- ▶ Examples:
- ▶ Cloud storage
- ▶ Shared software license
- ▶ Internet connection

3. Service Actions

Activities performed by the provider.

- ▶ Examples:
- ▶ Support desk
- ▶ Maintenance
- ▶ Training
- ▶ Monitoring

2.5 Service Relationships

- ▶ **Meaning**

To create value, organizations must build relationships with consumers, not just deliver services.

- ▶ **A service relationship** is cooperation between a service provider and a service consumer.
- ▶ Organizations may act as both provider and consumer.

Components of Service Relationships

1. Service Provision

Activities performed by the provider to deliver services.

Examples:

- ▶ Hosting systems
- ▶ Support services
- ▶ Equipment supply

▶ 2. Service Consumption

Activities performed by the consumer to use services.

Includes:

- ▶ Using systems
- ▶ Managing user accounts
- ▶ Receiving goods
- ▶ Operating consumer resources

3. Service Relationship Management

Joint activities between provider and consumer to ensure continual value co-creation.

Examples:

- ▶ Meetings
- ▶ Reviews
- ▶ Performance monitoring
- ▶ Improvement planning

Service Relationship Model

When a provider delivers services, the consumer gains new or improved resources.

Examples:

- ▶ Training service improves employee skills
- ▶ Internet service enables communication
- ▶ Software service improves productivity
- ▶ The consumer may then use those resources to create value for others.

2.6 Value: Outcomes, Costs, Risks, Utility and Warranty

► **Output**

An output is a tangible or intangible deliverable from an activity.

Examples:

- Installed software
- Clean rental car
- Monthly report

Outcome

An outcome is the result achieved by stakeholders using outputs.

Examples:

- ▶ Faster work completion
- ▶ Convenient travel
- ▶ Better communication
- ▶ Outputs are what is delivered. Outcomes are what is achieved.

Costs

Cost is the amount of money spent on an activity or resource.

Two Consumer Perspectives of Cost

- ▶ **1. Costs Removed by the Service**
- ▶ Costs the customer no longer carries.

Examples:

- ▶ Hiring IT staff
- ▶ Buying servers
- ▶ Maintenance tools



▶ 2. Costs Imposed by the Service

- ▶ Costs charged by the provider.

Examples:

- ▶ Subscription fees
- ▶ License charges
- ▶ Support fees

Customers compare both when judging value.

Risks

Risk is a possible event that may cause loss, harm, or difficulty in achieving objectives.

- ▶ It can also mean uncertainty of outcomes.

Risks Removed by the Service

Examples:

- ▶ Hardware failure
- ▶ Lack of technical staff
- ▶ Security management burden

Risks Added by the Service

Examples:

- ▶ Provider shutdown
- ▶ Data breach
- ▶ Poor performance
- ▶ Vendor dependency

Providers should manage risks appropriately.

Utility

Utility is the functionality offered by a product or service to meet a need.

- ▶ It answers:

What does the service do?

- ▶ Utility determines whether a service is **fit for purpose**.

Examples

- ▶ Email service enables communication
- ▶ Backup service restores data
- ▶ Payroll system processes salaries

Warranty

Warranty is assurance that a product or service will meet agreed requirements.

- ▶ It answers:

How well does the service perform?

- ▶ Warranty determines whether a service is **fit for use**.

Warranty Includes:

- ▶ Availability when needed
- ▶ Adequate capacity
- ▶ Reliability and continuity
- ▶ Security
- ▶ Performance quality

Utility vs Warranty

- ▶ **Utility = What the service does**
- ▶ **Warranty = How the service performs**

Both are essential for value creation.

- ▶ A service may have utility but fail if it lacks warranty.
- ▶ Example:

A system may process payments (utility), but if it is always offline (poor warranty), it provides little value.

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▶ Summary

- ▶ ITIL 4 service management focuses on co-creating value through services. Organizations combine resources into products and services, build relationships with consumers, and help customers achieve outcomes while balancing costs and risks. For services to create value, they must provide both utility and warranty.